ASSERTIONS

Management assertions are representations by management, explicit or otherwise, that are embodied in the financial statements or claims made by members of management regarding certain aspects of a business. The concept is primarily used in regard to the audit of a company's financial statements, where the auditors rely upon a variety of assertions regarding the business, The auditors test the validity of these assertions by conducting a number of audit tests.

For each item in the financial statements, management is making assertions.

Assertions like:

- ✓ This factory is owned by the company.
- ✓ The receivables really do owe us this money and will pay fairly soon.
- ✓ The payroll expense was for the company's genuine employees working on the company's business

Management assertions fall into the following three classifications:

Transaction-level assertions. The following five items are classified as assertions related to transactions, mostly in regard to the income statement:

- ✓ Accuracy.
- ✓ Classification.
- ✓ Completeness.
- ✓ Cutoff.
- ✓ Occurrence.

Financial Statement Assertions.

Account balance assertions. The following four items are classified as assertions related to the ending balances in accounts, and so relate primarily to the balance sheet:

- ✓ Completeness.

- ✓ Existence.
- ✓ Rights and obligations.
- ✓ Valuation and allocation

Presentation and disclosure assertions.

The following are classified as assertions related to the presentation of information within the financial statements, as well as the accompanying disclosures:

- ✓ Occurrence and rights and obligations
- ✓ Completeness
- ✓ Classification and understandability
- ✓ Accuracy and valuation

There is a fair amount of duplication in the types of assertions across the three categories; however, each assertion type is intended for a different aspect of the financial statements, with the first set related to the income statement, the second set to the balance sheet, and the third set to the accompanying disclosures.

If the auditor is **unable** to obtain a letter containing management assertions from the senior management of a client, the auditor **is unlikely to proceed with audit activities**. One reason for not proceeding with an audit is that the inability to obtain a management assertions letter could be an indicator that management has engaged in fraud in producing the financial statements.

A brief explanation of the various assertions is as follows:

Completeness

This means that all transactions have been recorded in the financial statements – ie all assets, liabilities, equity interests (capital and reserves) and other disclosures have been included in the financial statements.

Occurrence

This assertion means that transactions and events and other matters that have been recorded actually took place – and relate to this organization.

Valuation and allocation

This means that all items have been included in the financial statements at appropriate amounts according to company policy and the relevant financial reporting framework. Furthermore, any allocations or valuation adjustments required (like impairment) have been made and financial and other information is disclosed fairly and at appropriate amounts.

Classification and understandability

Financial information is appropriately presented and disclosed, and disclosures are clearly expressed so as to make them understandable to the users. For this, the disclosures should use simple language and state matters clearly and concisely.

Accuracy

Accuracy means that amounts and other data relating to transactions and events have been recorded at the correct amounts – i.e. at the amounts appearing in the source documents.

Rights and obligations

This means that the entity has a right to its assets – i.e. it is free to use or dispose of the assets as it sees fit. Furthermore, the entity is obliged to pay off the liabilities that are shown in the statement of financial position.

Existence

This means that assets, liabilities and equity interests (capital and reserves) are physically present/belong to the entity on the reporting date.

Cutoff

This means that transactions and events have been recorded in the correct accounting period – for example, if goods are delivered prior to year end, they are included in the cost of goods sold, not inventory.

Use and Application of Assertions

Auditors are required by ISAs to obtain sufficient & appropriate audit evidence in respect of all material financial statement assertions. The use of assertions therefore forms a critical element in the various stages of a financial statement audit as described below

Stage of Audit	Application of Assertions
Planning	As part of the risk assessment procedures, auditors are required to understand the entity and its environment including the assessment of the risk of material misstatement due to fraud and error at the financial statement and assertion level.*(ISA315.3)* The assessment of risk of material misstatement at the financial statement and assertion level provides the basis for determining the nature, timing and extent of audit procedures that are necessary to obtain sufficient and appropriate audit evidence in response to those assessed risks. *(ISA 200.A36)*
Testing	Substantive tests are performed to identify material misstatements at the assertion level. In case of assertions whose risk of material misstatement has been assessed as significant and no tests of control are planned to be performed, the substantive procedures should include tests of detail (i.e. substantive analytical procedures alone cannot be considered as sufficient and appropriate audit evidence for assertions with a significant risk of material misstatement. *(ISA330.21)* Tests of control (TOCs) are performed to assess the operating effectiveness of controls at the financial statement and assertion level. TOCs are necessary to validate the auditor's expectation of the operating effectiveness of controls (as acquired from the risk assessment procedures performed at the planning stage) and also in case where the performance of substantive procedures alone cannot provide sufficient and appropriate audit evidence in respect of a specific assertion. *(ISA 330.8)*
Completion	Auditor shall conclude whether sufficient and appropriate audit evidence has been obtained for all material financial statement assertions taking into account any revisions in the assessment of risk of material misstatement at the assertion level. *(ISA 330.25-6)* Where an auditor is unable to obtain sufficient and appropriate audit evidence in respect of a material financial statement assertion, he is required to modify the audit report accordingly. *(ISA 330.27)*

Purpose & Importance

Assertions assist auditors in considering a wide range of issues that are relevant to the authenticity of financial statements.
The consideration of management assertions during the various stages of audit helps to reduce the audit risk.
The assertions are important because they have an impact on how the auditor gathers evidence.

Why assertions matter to auditors

Assertions matter to auditors because:

- ✓ The auditor chooses suitable procedures based on the nature of the item in the financial statements being audited.
- ✓ The procedures will be refined further depending on which assertion about the item the auditor is testing

AUDIT PROCEDURE TO OBTAIN EVIDENCE.

Inspection-It involves examining records or documents, whether internal or external, in paper form, electronic form, or other media, or a physical examination of an asset.

Observation

Observation consists of looking at a process or procedure being performed by others.

Inquiry

Inquiry consists of seeking information from knowledgeable persons, both financial and non-financial, within the entity or outside the entity.

Recalculation

Recalculation consists of checking the mathematical accuracy of documents or records. Recalculation may be performed manually or electronically.

External confirmation

An external confirmation represents audit evidence obtained by the auditor as a direct written response to the auditor from a third party, in paper form, electronic form or by other medium, for example circularisation of receivables, confirmation of bank balances or confirmation of inventories held by third parties

Re-performance

Re-performance involves the auditor's independent execution of procedures or controls which were originally performed as part of the entity's internal control.

Analytical procedures

The consideration of the relationships between figures in the financial statements or between financial and nonfinancial information.